Thus, there was considerable improvement of relations with Bangladesh and the greatest breakthrough came in the form of signing a 30-year Treaty between the then West Bengal Chief Minister, Jyoti Basu and the Bangladesh Foreign Minister, Abdus Samad Azad on the sharing of the Ganga waters. Relations with Sri Lanka also showed a general improvement after the temporary thaw following the assassination of Rajiv Gandhi. The rise of democratic and friendly governments in Nepal, Bangladesh and Sri Lanka in the 1990s helped to instill the spirit of good relations between India and her neighbours. With Pakistan, no significant development was planned out because of its efforts to develop nuclear capability and provide sanctuary to terrorists.

With regard to India's emerging ties with the major global powers such as the United States, Germany, France, United Kingdom, Canada and Japan, the United Front Government continued with the existing policy of mutually beneficial cooperation on issues such as trade, Foreign Direct Investment (FDI) and technical assistance. With Russia, defence ties were strengthened with the signing of a number of agreements. Regarding India's relation with the United States, it also improved significantly despite the differences over the CTBT and India's refusal to sign the Treaty. But there was also a failure to be taken into account during the United Front Government's tenure. There was an all round criticism for India's dismal performance and failure of her diplomacy for which she lost a race with Japan for a non-permanent Asian seat at the UN Security Council.

With China, the United Front Government followed the course chartered by Rajiv Gandhi and made significant developments and a high-level visit was made by the Chinese President and General Secretary of the Communist Party, Jiang Zeminin, in November 1996.

Before the Gujral government could make its impact felt, it fell when the Congress withdrew its support leading to fresh elections, which was again followed by a period of political instability.

A.B. Vajpayee (1998–2004): The Pokhran Explosion